

TENTATIVE RULING

KC DBW M1, LLC v. Sisu Extraction, LLC (26CV003273)

Defendant Sisu's Demurrer to the 1st and 2nd Causes of Action of the Complaint:

Defendant Sisu Extraction, LLC ("Sisu") demurs to the first and second causes of action of the complaint on the basis that they are insufficiently alleged. Plaintiff KC DBW M1, LLC ("Vertis") opposes the motion on the bases that it has sufficiently alleged the claims under applicable law.

Sisu's request for judicial notice in support of the demurrer is **GRANTED**.

SISU's demurrer is **OVERRULED**.

This action arises out of Vertis' allegations that:

- In March 2025, Vertis ordered bulk cannabis distillate from Sisu at a price of \$43,400;
- In February 2025, before Vertis placed the order, Sisu's salesperson Greg Ivanov provided Vertis with two certificates of analysis reflecting passing results from Infinite Chemical Analysis and Encore Labs;
- In February of 2025, before Vertis placed the order, Sisu also had a third test that returned a failing result for the pesticide Chlordane;
- Sisu's Vice President of Sales, Chris Moody, was aware of the failing test and intentionally failed to disclose the failing test to buyers like Vertis because he doubted its credibility;
- Vertis relied on Sisu's false representations about the quality of the cannabis in entering into the purchase agreement.

(Complaint ¶¶ 8–37.)

Sisu first argues that the first cause of action for fraudulent concealment lacks sufficient particularity because Vertis does not allege a relationship giving rise to a duty to disclose or that Greg Ivanov knew of the failing test in February 2025. While fraud must be pleaded with particularity, the standard is relaxed where, as here, the defendant necessarily possesses greater knowledge of the facts of concealment than the plaintiff. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384; see also *Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 217.) Here, Vertis has pleaded what it could know including, the identity of the individuals involved (Ivanov and Moody), their positions, the substance and timing of the concealed fact (the February 2025 failing test), the company's reasoning for suppressing the failed test, that Sisu knew this would be a material fact and intended to deceive Vertis, and Vertis' reliance on the omission. (Compl. ¶¶ 18–19, 24, 26–28.) These allegations satisfy the pleading standard in this circumstance.

With respect to a duty to disclose, a duty arises where, during a "transaction" between the parties arising from direct dealings, the defendant has exclusive knowledge of material facts not known or reasonably discoverable by the plaintiff, where the defendant actively conceals a material fact, or where the defendant makes partial representations that are misleading because some material fact has been suppressed. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336; *Bigler-Engler v.*

Breg, Inc. (2017) 7 Cal.App.5th 276, 311.) Vertis has sufficiently alleged such a relationship by allegations of a buyer seller relationship and Sisu’s possession of exclusive, superior knowledge.

Sisu next argues that under *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, the first cause of action fails because Vertis is precluded by its contract with Sisu from asserting tort claims. Under *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th. 1, a plaintiff may only assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if: 1) the elements of the cause of action can be established independently of the parties’ contractual rights and obligations, and 2) the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement. (*Id.* at 38.) Although the quality of the cannabis does appear to have been addressed in the parties’ March 2025 purchase contract, *Rattagan* is inapplicable because Vertis’ claim is for fraud in the inducement. *Rattagan* did not disturb the settled rule that fraud in the *inducement* of a contract is independently actionable in tort and there is no applicability of the two prong test in that scenario. (See *Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979, 989–990.) The Complaint alleges that Ivanov transmitted the two passing tests in February 2025 and that SISU suppressed the failed test prior to the March 2025 purchase contract. (Compl. ¶¶ 11, 13.) The wrong alleged is therefore the inducement of the transaction itself, not a breach of any duty arising during its performance, and the claim is not precluded by *Rattagan*.

As to the second cause of action for intentional misrepresentation, Sisu argues that the claim fails on its face because it pleads concealment, not misrepresentation. However, a representation of fact that is only partially true, or that is misleading because it fails to state additional facts that would materially qualify what has been stated, is actionable as a misrepresentation. (*OCM Principal Opportunities Fund* (2007) 157 Cal.App.4th 835, 8854; *Cicone v. URS Corp.* (1986) 183 Cal.App.3d 194, 200–201 [half-truths may constitute actionable misrepresentations].) Accordingly, the cause of action is sufficiently alleged.

For these reasons, the demurrer is **OVERRULED**.

Defendant Sisu’s Motion to Strike Portions of the Complaint:

Sisu also moves to strike the allegations seeking punitive damages in the first and second causes of action of the complaint, and the portions of the prayer requesting punitive damages of \$50,000 based on the first, second, and third causes of action. The motion is based on Sisu’s argument that Vertis failed to sufficiently allege that the Sisu employees involved were managing agents and that it is improper to allege specific amounts of claimed punitive damages in a complaint.

The Motion to Strike is **GRANTED IN PART** and **DENIED IN PART**.

The motion is **GRANTED** as to the allegation in the prayer seeking punitive damages in connection with the third cause of action for negligent misrepresentation with does not support a claim for punitive damages. The motion is also **GRANTED** as to the three allegations in the prayer for punitive damages “in the amount of \$50,000,” which are improper references to specific

punitive damages amounts in the pleadings under Civil Code section 3295. Vertis concedes these points. The allegations are stricken.

The motion is **DENIED** as to the allegations seeking punitive damages of unspecified amounts in the first and second causes of action and the corresponding portions of the prayer. Vertis has included sufficient allegations about the roles of those involved to support a request for punitive damages at the pleading stage.

Plaintiff Vertis is to prepare the court's order on both the demurrer and the motion to strike consistent with the tentative ruling.

NOTE RE: TENTATIVE RULING

This tentative ruling becomes the court's order, and no hearing shall be held unless one of the parties contests it by complying with Rule 3.1308 of the California Rules of Court and Monterey County Local Rule 7.9.

Those parties wishing to present an oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, **NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT AND THE HEARING VACATED.**

You must notify the court by emailing TentativeRulings@monterey.courts.ca.gov or by telephoning the Calendar Department at (831) 647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.